WARRANTY ATLAS · Utah (UT)

Law last amended: 2023 (eff. 2023-05-03) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-12

Cites: Utah Code § 13-14-204; Utah Code § 13-14-201(1)(gg), (jj) (audit protest/mediation; cost recovery); Utah Code §§ 13-14-106, -107, -308 (enforcement/remedies)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 13-14-204(2)(b); see (1)(c)
Mfr-backed service contract	**Not addressed**	-	§ 13-14-204(3)(b)(i)
CPO warranty	**Not addressed**	-	§ 13-14-204(3)(b)(i)
Independent service contract	**Not addressed**	-	§ 13-14-204(3)(a)(ii)(C)

Hourly rate: Retail labor rate = total labor charges on the submitted qualified repairs ÷ total hours in those repairs. The dealer submits 100 sequential qualified-repair ROs or 90 consecutive days, whichever gives fewer ROs, all within 180 days. The rate takes effect 30 days after submission unless the franchisor objects or asks for extra ROs (the 30 days before or after). Changes are limited to one per 12 months, and payment must start within 15 days of the effective date.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Must be 'specifically disapproved' in writing; denial allowed only if nonwarranty/nonrecall repair, lack of material documentation, material noncompliance with specific substantive program terms, or bona fide belief on competent evidence of intentional falsit…	§ 13-14-204(6)(a)-(b); denial grounds (8)
Payment	30 days after approval. Dealer filing deadline: Silent.	
Chargebacks	6 months; fraud: Time limits do not preclude chargebacks for any fraudulent claim prev…. Written/automated notice of amount and reason; dealer has 30 days to explain/cure; no chargeback for nonmaterial clerical errors; must rest on specific instances of material noncompliance; no extrapolation from samples ((9)(c)-(d)). Audits 'on a reasonable ba…	§ 13-14-204(9)(a), (c)-(e); § 13-14-201(1)(gg)
Rate resubmission	Once in a 12-month period (labor rate and parts markup each). Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Routine maintenance, Tires, Alignments, Government, Insurance-paid, Service-contract paid, Discounted / promotional, Internal, Accessories, State inspections, Prep / reconditioning, Goodwill, Warranty / recall, Other (see text).	§ 13-14-204(3)(c)-(h); exclusions (3)(a)(ii)
Mfr response	30 days; no response = approved: Yes. Challenge: Written objection to the 'material accuracy' of the rate; or, if submission is 'substantially higher' than current warranty rate, request supplemental ROs (30 days before/after) and propose an adjusted rate using the same rules, formula and exclusions. Forum: Not specified in § 204. Request for agency action before the Departme….	§ 13-14-204(3)(e)
Penalties	Franchisee private right of action for actual damages and reasonable attorney fees (§ 13-14-308(1)); adjudicative proceeding by request for agency action, with costs incl. reasonable attorney fees apportioned (§ 13-14-107). Executive director may issue cease-and-desist order and administrative fine after hearing (§ 13-14-106(1)); depar…	Utah Code §§ 13-14-106, 13-14-107, 13-14-308
Audit procedures	Audit climate score 76/100 (Very high restrictiveness; chargeback limits 71/75 + process and oversight 5/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: yes; response period: 30 days; internal appeal: no; held pending appeal: yes; extrapolation: prohibited; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 13-14-204(6)(a)-(b); denial grounds (8)): "Any claim not specifically disapproved of in writing within 30 days after the receipt of the form is considered to be approved and payment shall be made within 30 days."*

Chargebacks *(§ 13-14-204(9)(a), (c)-(e); § 13-14-201(1)(gg)): "Any charge back for a warranty part or service compensation, recall repair compensation, or service incentive is only enforceable for the six-month period immediately following the day on which the franchisor makes the payment"*

Rate *(§ 13-14-204(3)(c)-(h); exclusions (3)(a)(ii)): "whichever of the following produces the fewer number of repair orders, all of which must be for repairs made no more than 180 days before such submission"*

Factory time *(§ 13-14-204(2)(b); see (1)(c)): "Time allowances described in Subsection (1) for the diagnosis and performance of warranty work and service shall be reasonable and adequate for the work to be performed."*

Notes

Rate challenge is limited to material accuracy (no general reasonableness test). RV franchisee parts floor = cost + 20% ((3)(b)(ii)). Time allowances set by franchisor must be 'reasonable and adequate' ((2)(b)). § 13-14-201(1)(jj) bars surcharges to recover warranty costs. Chapter does not apply to licensed direct-sale manufacturers (§ 13-14-108).

Source: official · https://le.utah.gov/xcode/Title13/Chapter14/13-14-S204.html (version C13-14-S204_2023050320230503, effective 5/3/2023) · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.